HEDGE FUND INVESTMENT FORMS

Learning Outcome

- describe investment forms and vehicles used in hedge fund investments

A common structural characteristic of a hedge fund is that it is set up as a private investment partnership either onshore or in a tax-advantaged offshore location. Under certain legal restrictions (which vary by jurisdiction), the offering can be open only to a limited number of investors meeting certain income and net worth guidelines.

Hedge funds, like private equity funds, are legally typically incorporated and organized as private limited partnerships or limited liability companies with a general partner or managing member who is the hedge fund manager. The partnership or the managing member receives a management fee, and the general partner receives compensation based on fund performance. Hedge fund investors purchase a share of the fund or partnership and receive in return a fixed percentage of the fund returns, minus applicable fees.

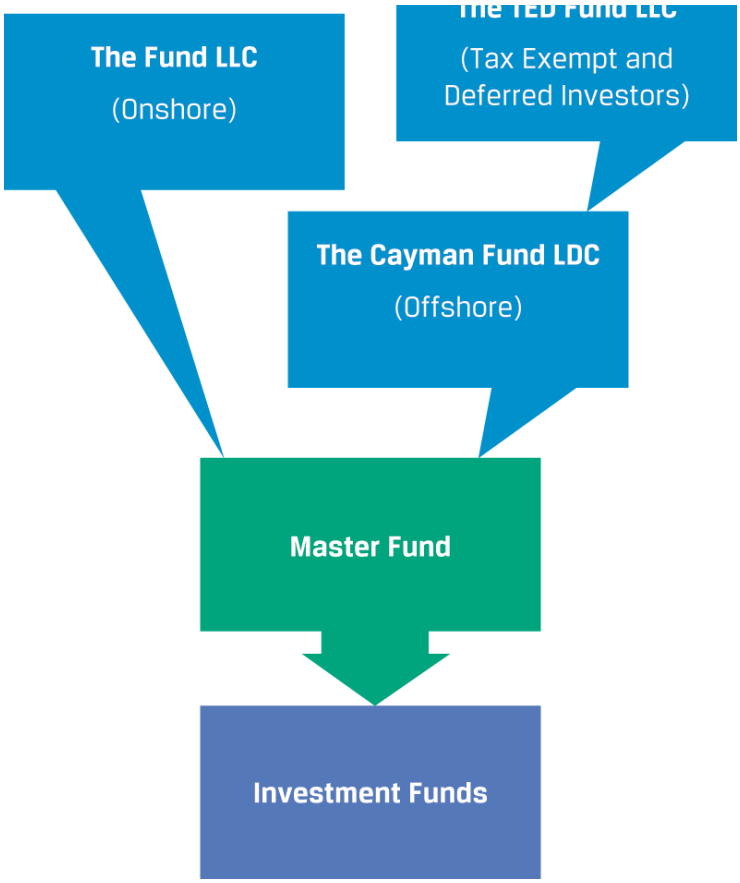
The fund documents—private placement memorandum, the partnership agreement, or the articles of incorporation—lay out the legal and contractual relationship between the fund manager and the fund investor and create the operational framework for the fund. Normally, the fund structures are incorporated as perpetual legal entities, but in reality, as the hedge funds close, they are liquidated on a regular basis.

Direct Hedge Fund Investment Forms

A common hedge fund form is a master feeder structure. The master feeder structure is set up for optimum tax efficiency and consists of an offshore feeder fund and an onshore feeder fund—both feeding into a master fund that invests the capital based on its contractual partnership agreements. This structure is depicted in Exhibit 2.

Exhibit 2:

Sample Master-feeder Structure



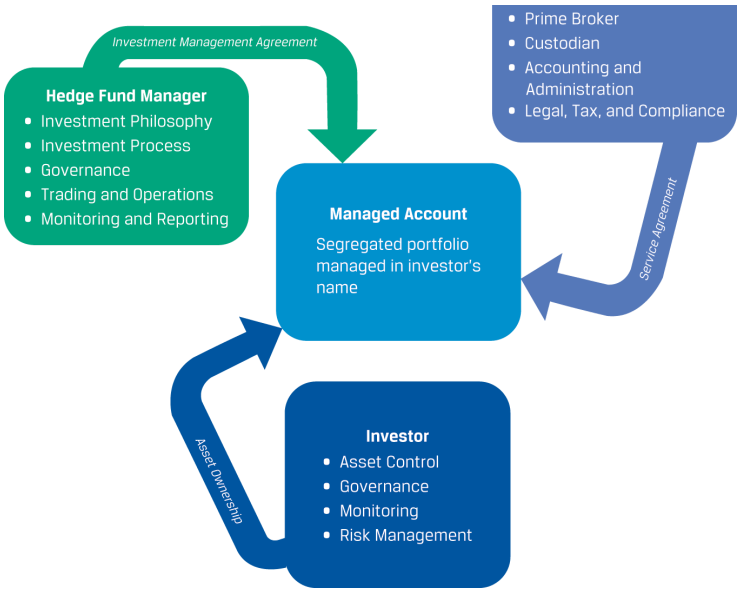
A common hedge fund fee structure is known as “two and twenty.” In this setup, the hedge fund partnership entity that operates and administers the fund receives a 2% management fee. The general partner, who manages the fund investments, receives 20% of the fund’s net profits. The investment returns, after management and performance fees, flow back to the feeder funds to the investors. Recently, the fee structure has been changing due to pressure from investors. Some of the newer funds are offered with a fee of 1 or 30, where the manager receives the greater of a 1% management fee or an incentive fee of 30% of the fund’s alpha or outperformance against a benchmark, instead of a performance fee based simply on total profits.

In addition to the partnership agreement that delineates responsibilities, hedge funds often use side letters to address the specific legal, regulatory, tax, operational, and reporting requirements of an investor. Such side letters complement and can occasionally supersede the terms of the fund’s documents and are typically used when a hedge fund investor requires concessions without changing the private placement memorandum, the partnership agreement, or the articles. Occasionally, specific rights are conferred to a particular investor, such as enhanced information rights.

For larger investors, the hedge fund structure could be a fund of one or a separately managed account (SMA). These are separate investment accounts over which the investor retains more influence. In the case of a fund of one structure, the hedge fund is created for one investor, and in the case of an SMA, the investor creates his or her own investment vehicle and the underlying assets are held and registered in the name of the investor. However, the day-to-day management of the account is delegated to the hedge fund manager. These structures may require additional agreements and service providers to operate efficiently and seamlessly. Exhibit 3 shows a typical structure.

Exhibit 3:

Separately Managed Hedge Fund Investment Account



Source: KPMG. https://assets.kpmg/content/dam/kpmg/pdf/2015/09/hedge-fund-managed-accounts.pdf.

An SMA structure allows for a customizable portfolio, with investor-specific investment mandates, better transparency, efficient capital allocation, and higher liquidity, over which the investor can exercise enhanced control while keeping the fees lower. However, SMAs are operationally more complex and also demand greater governance oversight. That is why these accounts are more appropriate for larger, institutional investors.

An SMA structure has some downsides as well. Unlike a commingled fund, the managers do not have a stake in the fund investments. The investors negotiate lower fees and fund expenses but in return, may receive allocations only to the fund manager's most liquid investment trades. Hence, the overall motivation of the managers for investment performance could be reduced. Structuring in favor of incentive fees can mitigate this problem.

Indirect Hedge Fund Investment Forms

Indirect investment in hedge funds aims to make hedge fund exposures more accessible to smaller institutional and larger retail investors or to those who may lack specialized skills in managing certain asset types or want to create multiple and concurrent exposures to different strategies. The choice of indirect exposure is often motivated by reducing management costs, increasing performance transparency, and improving liquidity. Often the choice is the fund-of-hedge-funds approach, which is a managed portfolio of hedge funds.

Funds of hedge funds pool funds from investors and invest the proceeds in a diversified portfolio of hedge fund investments across a variety of hedge funds. This approach provides direct diversification benefits across fund strategies, investment regions, and management styles. These funds offer generally lower investment minimums, reduced lockup periods, and typically better exit liquidity.

For the investor, all this comes with a higher fee structure—often an additional 1%—because the manager of the fund of funds adds its own fees on top of the hedge fund management fees. Fund-of-funds investors often face a 10% incentive fee in addition to those fees charged by underlying hedge funds. The incentive fee is typically calculated on profits net of management fees at both the hedge fund level and the fund-of-funds level. This raises the cost for the investors, but at the same time, they gain access to hedge funds in which they otherwise would not have been able to invest in a diversified pool of funds. Fee layering reduces the end investor's initial gross investment returns and may result in an investor paying fees more than once for management of the same assets. Despite the additional fees, investors choose funds of funds since they provide an opportunity to invest in an underlying hedge fund that might be closed to new investors

The fund-of-hedge-fund managers must have expertise in conducting hedge fund due diligence, must monitor both absolute and relative performance, and are often able to negotiate better redemption or fee terms than individual investors can.

EXAMPLE 3

Tenderledge Investments LLC—Comparing strategies

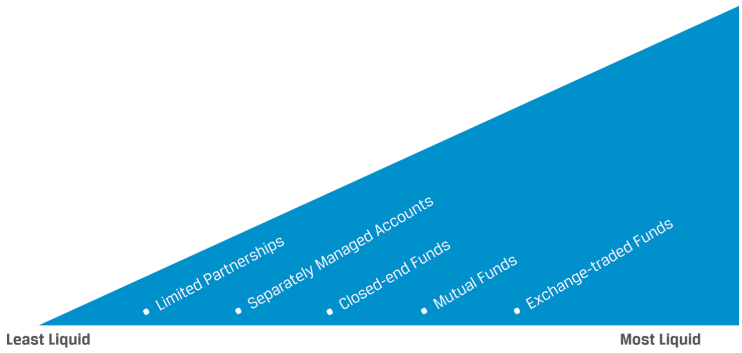
Tenderledge Investments, a fund-of-funds hedge fund, is benchmarking the performance of various hedge fund strategies as measured by the annual strategy returns over a 10-year period. Focusing on the correlation between various hedge fund strategies, the highest correlation between fund-of-funds returns is with fundamental growth, and the lowest is with short-bias funds.

Correlation between Annual Returns	Fund of Funds
Fundamental Growth	0.91
Convertible Arbitrage	0.89
Distressed/Restructuring	0.84
Multi-Strategy	0.83
Credit	0.74
Equity Market Neutral	–0.02
Macro/CTA	–0.16
Short Bias	–0.84

An increasing number of exchange-traded products, such as ETFs, seek to replicate hedge fund investment *styles* without directly investing in hedge funds themselves. Exhibit 4 shows where these investments are on the liquidity spectrum.

Exhibit 4:

Liquidity Spectrum of Various Investment Alternatives



These funds can deliver returns similar to many popular hedge fund strategies, such as long/short equity, market neutral, and event driven, through indexing or active management using liquid assets. Effectively, hedge fund replication ETFs seek to generate returns with high correlations with actual hedge fund returns. By relying on quantitative tools, they imitate a broad spectrum of hedge fund returns or a specific style return. However, the returns from these strategies often fall short compared to pure hedge fund strategies because these instruments are publicly traded, are subject to a much heavier regulatory burden, do not impose restrictions on redemptions, and cannot use leverage to the same level. Yet, these investments benefit from greater liquidity, lower

EXAMPLE 4

Tenderledge Investments LLC—Creating a Hedge Fund ETF

Tenderledge is in the process of developing a hedge fund ETF that would track, before fees and expenses, the performance of a fund-of-hedge-funds strategy index. The strategy index seeks to replicate the risk-adjusted return characteristics of fund of hedge funds and underlying multiple hedge fund investment styles—more specifically, long/short equity, market neutral, event driven, fixed-income arbitrage, and distressed situations.

Although Tenderledge is a fund of hedge funds, the ETF will not invest in any hedge funds but, rather, incorporates Tenderledge's experience and knowledge in selecting hedge fund investments for the incorporation of its flagship fund of funds. Tenderledge will use quantitative tools to select traded debt and equity instruments, as well as certain derivatives, to replicate the performance of these five hedge fund strategies.

This ETF intends to achieve portfolio diversification by tracking the performance of the hedge fund universe and the five styles it seeks to replicate, generating returns with high correlation with these strategies over the long-term. Moreover, by combining these distinct strategies, the ETF will reduce its exposures to traditional sources of risk, such as interest rate volatility and equity market risk factors, such as beta.

Question Set

1. Choose the correct statements regarding benefits of a master feeder structure.

A. It allows investors in taxable jurisdictions to invest in an offshore hedge fund without any tax liability.

B. Pooling funds from offshore and onshore funds creates economies of scale.

C. This structure allows hedge funds to accept funding from global investors with relative ease.

D. Many regional regulatory requirements can be avoided by such a structure.

Hide Solution

Solution:

B, C, and D are correct. A is incorrect because investors in taxable jurisdictions do not avoid taxes by investing in offshore funds.

2. Which of the following statements about SMAs is *least* accurate?

A. SMAs are a preferred choice of high-net-worth investors with specific investment mandates because they are highly customizable.
B. SMAs provide better transparency for the investor than other fund structures.
C. SMAs are characterized by simpler fee structures compared to mutual funds.
D. The potential for conflicts of interest exists for SMAs since managers are not personally invested in the funds and the regulation requirements are light.

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Solution:

manager for each account and require sufficient care to structure in a way to incentivize the manager. A, B, and D are accurate statements.

3. Which of the following is *least* likely an investor objective that would help inform the choice of a specific fund structure?

A. Reduce tax leakage and enhance returns by efficient tax planning
B. Ensure an appropriate amount of investor control on companies and strategies
C. Maximize the net returns on the investments
D. Reduce the regulatory and compliance requirements

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Solution:

C is correct because it is the least likely investor objective. The objective of the investment manager is to maximize the returns, while the objective of the structure is to ensure that the other options (Choices A, B, and D) are taken care of.

4. Identify the investment structure most appropriate for the investor.

A. Managed futures

B. SMA

C. Fund of funds

1. A high-net-worth investor who requires tax-efficient investment channels with a high degree of control over allocation decisions	
2. An institutional investor intending to invest in commodity markets	
3. A small investor who would like hedge fund exposure at a lower risk	

Hide Solution

Solution:

1. A high-net-worth investor who requires tax-efficient investment channels with a high degree of control over allocation decisions	B. SMA
2. An institutional investor intending to invest in commodity markets	A. Managed futures
3. A small investor who would like hedge fund exposure at a lower risk	C. Fund of funds

Choice A: Managed futures funds are also known as commodity trading advisers because they historically focused on commodity futures. However, CTAs may include investments in a variety of futures, including commodities, equities, fixed income, and foreign exchange.

Choice B: An SMA structure allows a customizable portfolio, with investor-specific investment mandates, better transparency, efficient capital allocation, and higher liquidity, over which the investor can exercise enhanced control while keeping fees lower. However, SMAs are operationally more complex and also demand greater governance oversight. That is why these accounts are more appropriate for larger investors.

Choice C: Funds of funds allow smaller investors to make investments in hedge funds for which the minimum investment and research requirements would otherwise be overly burdensome. Volatility is generally low in these

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Discussion

What do you want to discuss... (required)

AM

Which of the following is least likely an investor objective that would help inform the choice of a specific fund structure? Answer: maximize net returns

why would an investor not have an objective to maximize returns, isn't that the reason they're investing in the first place?

Created 3 months ago by Ayushi Mohanty

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